PIRANHA PROFITS

Price Momentum Analysis

By: Alson Chew

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PRICE MOMENTUM ANALYSIS

PRICE MOMENTUM IS THE RELATIONSHIP BETWEEN PRICE AND TIME

- ✓ In order to manipulate the public, the market maker only have 2 buttons to press. The Price and the Time element.

- ✓ The price movement with or against the trader, induces certain collective market behavior.

THE FAÇADE OF PRICE MOMENTUM (UPSIDE)

- ✓ Strong upside price momentum is a flush up. A flush up induces a “chasing herd” behavior and that is when professional traders should turn **BEARISH**.

- ✓ A flush up is characterized as a steep upside price movement in a relatively short period of time with _____**more than 70 degrees**_____upward price movement

- ✓ A wave up is a cluster of bars (visually) that forms about ___**45 degrees**_____upward price movement

- ✓ When price is in waving up, retailers who were long tend to get “tired out” and close off their long positions. This is especially true in the financial markets where margin trading attracts financing charges and opportunity cost. At this stage, price is still in hidden process where the obvious upside price movement is yet to come.

- ✓ When the obvious upside price movement (flush up) happens, it becomes obvious to retailers and induces a herd chasing mentality for fear of missing the boat. This price chasing human nature causes real demand (retailers chasing) and when max real demand occurs, there is a strong incentive for price to come down – Market maker book turns net short.

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PRICE MOMENTUM ANALYSIS

What is the difference between a flush up bar and flush up?

A flush up bar is an outstanding bullish green bar that is usually at least 1.5 times the normal bar range relative to preceding bars in the given time frame. A flush up price movement is a steep 70% upside price movement which may or may not have a flush up bar.

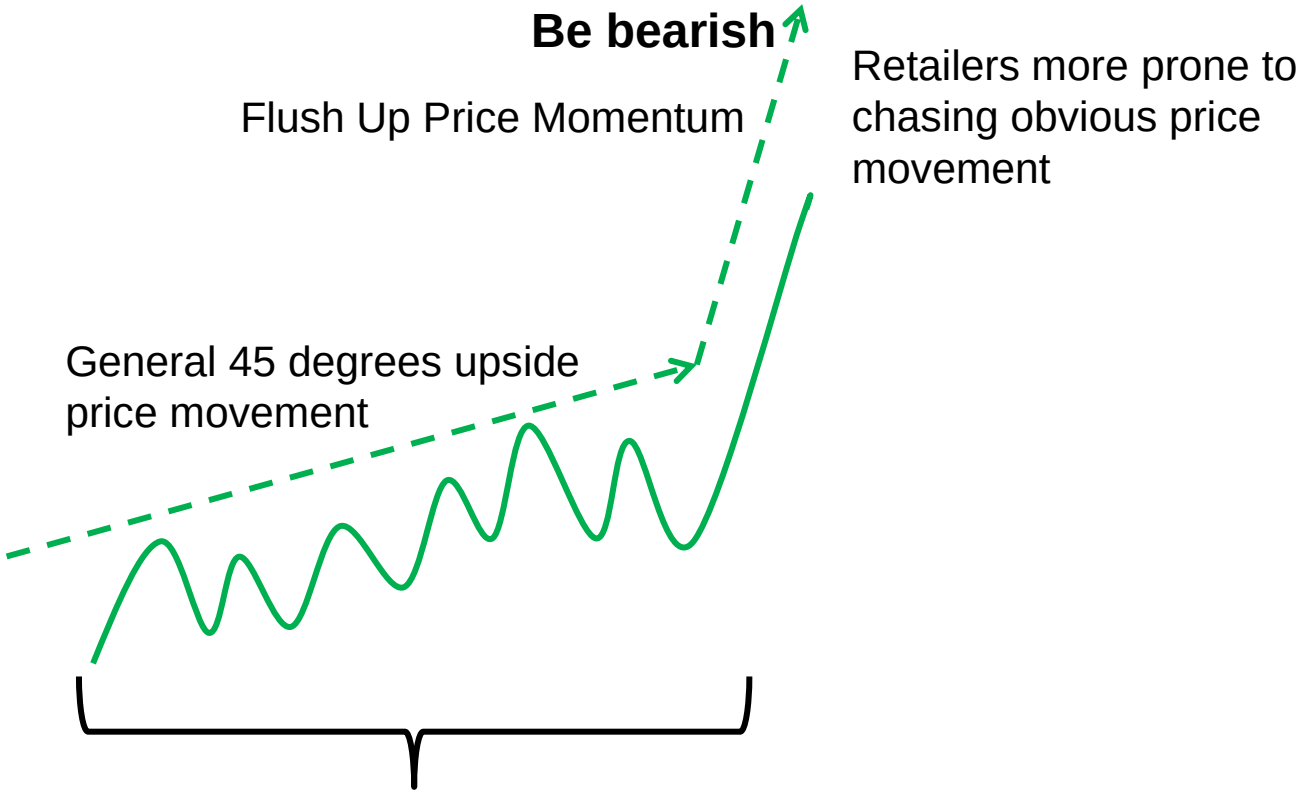
What is the difference between a flush down bar and flush down?

A flush down bar is an outstanding bearish red bar that is usually at least 1.5 times the normal bar range relative to preceding bars in the given time frame. A flush down price movement is a steep 70% downside price movement which may or may not have a flush down bar.

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PRICE MOMENTUM ANALYSIS

PRICE MOMENTUM IS THE RELATIONSHIP BETWEEN PRICE AND TIME



(Hidden and tiring period to induce sell orders into him to turn nett book position long)

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PRICE MOMENTUM ANALYSIS

PRICE MOMEMTUM IS THE RELATIONSHIP BETWEEN PRICE AND TIME

- ✓ In order to manipulate the public, the market maker only have 2 buttons to press. The Price and the Time element.

- ✓ The price movement with or against the trader, induces certain collective market behavior.

THE FAÇADE OF PRICE MOMEMTUM (DOWNSIDE)

- ✓ Strong downside price momentum is a flush down. A flush down induces mainly a “panic selling” behavior and that is when professional traders should turn **BULLISH**.

- ✓ A flush down is characterized as a steep upside price movement in a relatively short period of time with _____**more than 70 degrees**_____**downward** price movement

- ✓ A wave down is a cluster of bars (visually) that forms about __ **45 degrees** ___downward price movement

- ✓ When price is in waving down, retailers who were short tend to get “tired out” and close off their short positions. This is especially true in the financial markets where margin trading attracts financing charges and opportunity cost. At this stage, price is still in hidden process where the obvious downside price movement is yet to come.

- ✓ When the obvious downside price movement (flush down) happens, it becomes obvious to retailers and out of fear it induces a panic selling mode. This cutting loss at any price nature causes real supply (retailers chasing) and when max real supply occurs, there is a strong incentive for price to go up – Market maker book turns net long.

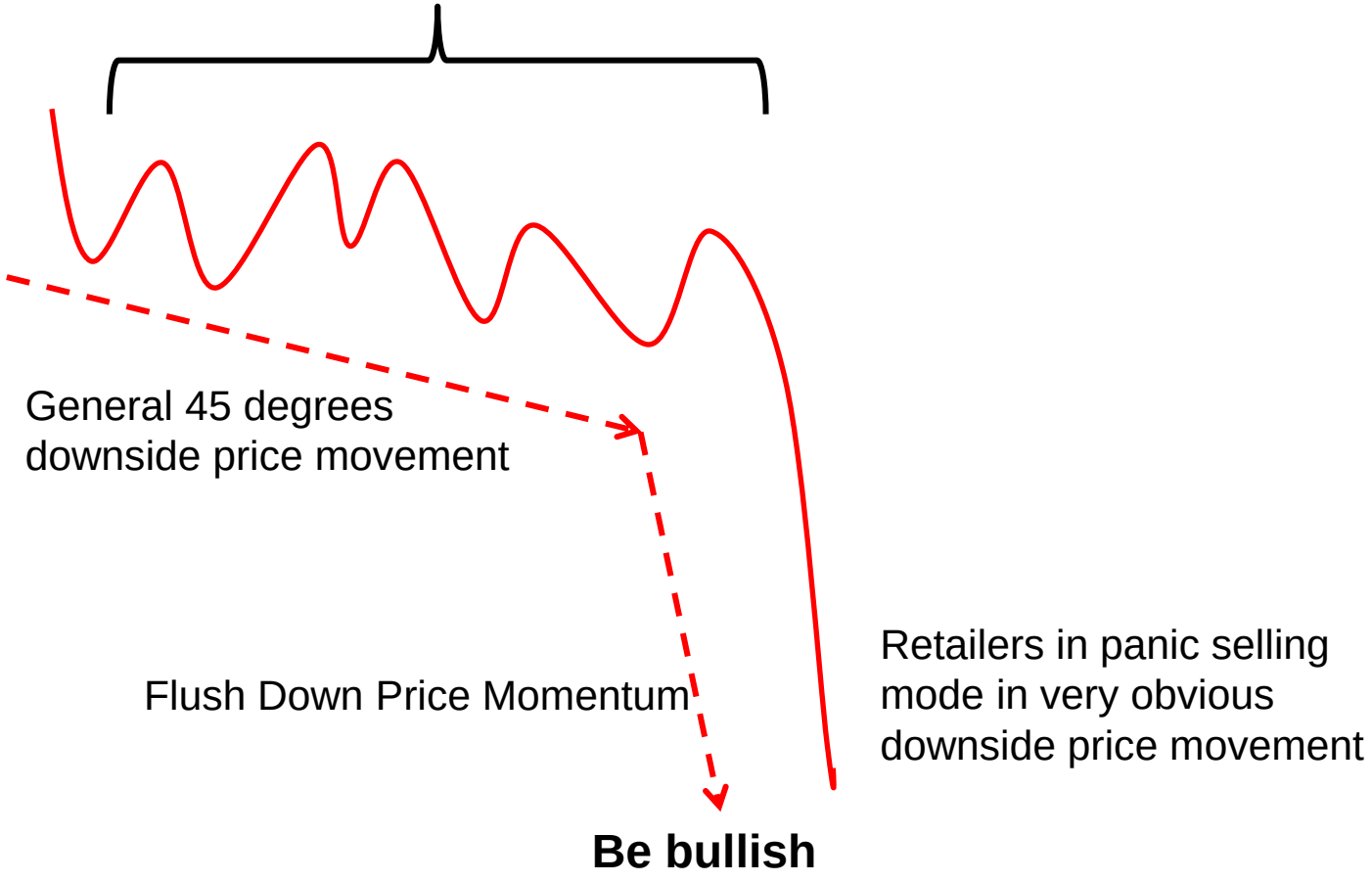
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PRICE MOMENTUM ANALYSIS

PRICE MOMEMTUM IS THE RELATIONSHIP BETWEEN PRICE AND TIME

Normal Distribution Process

(Hidden and tiring period to induce buy orders into him to turn nett book position short)



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PRICE MOMENTUM ANALYSIS

The interaction between price and time causes market to move in waves and flushes



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